
PRINCIPLE 8 — OVERSEEN BY THE BOARD

Board oversight supports the effectiveness of the internal audit function through:

- Regular, meaningful communication with the chief audit executive (CAE).
 - Sufficient resources to fulfill the internal audit mandate.
 - Oversight of internal audit performance and quality.
 - Review of internal and external quality assessment results.
 - Monitoring actions to address deficiencies and improve performance.
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STANDARD 8.1 — BOARD INTERACTION

1. Standards & Guidance

Requirements — Chief Audit Executive

The CAE must provide the board with the information it needs to oversee internal audit. This includes information specifically requested by the board and information the CAE considers important for effective oversight.

The CAE must report to the board and senior management on:

- The internal audit plan, budget, and significant revisions.
- Changes that could affect the internal audit mandate or charter.
- Potential impairments to independence.
- Results of internal audit services, including conclusions, themes, assurance, advice, insights, and monitoring results.
- Results of the quality assurance and improvement program.

When disagreements with senior management or other stakeholders affect internal audit's ability to fulfill its responsibilities, the CAE must communicate the relevant facts and circumstances to the board. Examples include disagreements about engagement scope, findings, or other significant engagement matters.

Essential Conditions — Board

The board should:

- Communicate with the CAE to understand how internal audit fulfills its mandate.
- Share its perspective on organizational strategies, objectives, and risks.
- Establish expectations for the frequency and nature of communications.
- Define criteria and processes for escalating significant matters.

- Use internal audit results and management discussions to understand the effectiveness of governance, risk management, and control.
- Discuss significant disagreements and support the CAE when intervention is appropriate.

Essential Conditions — Senior Management

Senior management should:

- Share its perspective on strategies, objectives, and risks to inform internal audit priorities.
- Help the board understand the effectiveness of governance, risk management, and control.
- Work with the board and CAE to establish an appropriate escalation process.

Considerations for Implementation

Communication should be two-way and may include reports, presentations, formal meetings, and informal discussions.

The CAE should periodically confirm that reporting frequency, content, and level of detail meet the board's needs. Significant matters may require communication between scheduled meetings.

Escalation criteria should reflect risk tolerance and cover financial and nonfinancial concerns, such as cybersecurity, strategic initiatives, safety, operational resilience, and reputation.

Discussing disagreements with management helps establish accurate facts and fairly present management's perspective. It should not prevent necessary escalation.

Quarterly communication is an implementation consideration associated with regular board meetings; it is not a universal mandatory frequency under this standard.

Examples of Evidence of Conformance

- Board agendas and minutes documenting communications with the CAE.
- Presentations and reports submitted to the board.
- Records of communications between scheduled meetings.
- Documented escalation criteria and procedures.
- Records showing how significant disagreements were communicated and addressed.

2. Audit Focus Areas

- Completeness and timeliness of board reporting.
- Communication of independence impairments.
- Escalation of significant disagreements and restrictions.
- Alignment between reporting and board expectations.
- Communication of engagement results and recurring themes.
- Follow-up reporting on management actions.

- Reporting of quality assessment results.

3. Risks

Risk	Potential consequence
Significant matters are reported late or omitted	The board cannot intervene promptly.
Reports exclude recurring issues or unresolved actions	The board receives an incomplete view of exposure.
Escalation criteria are unclear	Similar issues receive inconsistent treatment.
Management filters communications to the board	Important findings or limitations may be suppressed.
Reporting focuses only on completed activities	The board cannot assess internal audit's effectiveness or impact.

4. Controls — Suggested

Control	Type
Board-agreed reporting calendar and communication expectations	Preventive
Reporting checklist covering the required communication categories	Preventive
Documented escalation criteria, recipients, and timeframes	Preventive
Review of board reports against engagement results, independence matters, and quality findings	Detective
Log of escalated issues, board decisions, owners, and follow-up actions	Detective
Corrective action for repeated reporting omissions or delays	Corrective

5. Audit Procedures — Suggested

Procedure	Evidence to examine
Compare communication arrangements with the board's stated expectations.	Charter, reporting calendar, communication protocols
Sample board reports and assess coverage of the required reporting categories.	Board packs, presentations, supporting records
Trace significant engagement findings and recurring themes into board communications.	Engagement reports, issue register, board reports
Select disagreements or scope restrictions and assess whether escalation was appropriate and timely.	Correspondence, escalation log, meeting minutes
Check whether potential independence impairments were communicated.	Independence declarations, board minutes

Procedure	Evidence to examine
Verify that board decisions and requested actions were followed through.	Action tracker, subsequent reports, closure evidence

6. Red Flags

- Significant issues repeatedly described as “to be discussed later.”
- Board reports differ materially from final engagement reports without explanation.
- Scope restrictions are absent from board communications.
- No documented escalation process.
- Board requests repeatedly remain unanswered.
- Disagreements disappear from reporting without a recorded resolution.

7. Common Findings — Illustrative Examples

- Board reporting does not consistently include quality assessment results.
- Escalation thresholds have not been agreed with the board.
- Significant scope restrictions were communicated only after the engagement ended.
- Reporting does not consolidate recurring findings across engagements.
- Board-requested actions lack assigned owners or follow-up dates.

8. Professional References

- Standard 6.1 — Internal Audit Mandate.
- Standard 6.2 — Internal Audit Charter.
- Standard 6.3 — Board and Senior Management Support.
- Standard 7.1 — Organizational Independence.
- Standards 8.3 and 8.4 — Quality and External Quality Assessment.
- Standard 9.4 — Internal Audit Plan.
- Standard 11.3 — Communicating Results.
- Standards 12.1 and 12.2 — Internal Quality Assessment and Performance Measurement.
- Standard 14.5 — Engagement Conclusions.
- Standard 15.2 — Confirming the Implementation of Recommendations or Action Plans.

STANDARD 8.2 — RESOURCES

1. Standards & Guidance

Requirements — Chief Audit Executive

The CAE must evaluate whether internal audit has sufficient resources to fulfill its mandate and achieve its plan.

When resources are insufficient, the CAE must:

- Develop a strategy to obtain sufficient resources.
- Inform the board about the impact of the shortfall.
- Explain how the shortfall will be addressed.

The assessment should consider the resources needed to deliver the work effectively, including relevant capabilities.

Essential Conditions — Board

The board should:

- Work with senior management to provide sufficient resources.
- Discuss resource sufficiency with the CAE **at least annually**, considering both resource numbers and capabilities.
- Consider the effect of insufficient resources on internal audit's mandate and plan.
- Work with senior management and the CAE to address resource deficiencies.

Essential Conditions — Senior Management

Senior management should work with the board to provide sufficient resources and collaborate with the CAE to address shortages.

Considerations for Implementation

A resource assessment can compare required resources against available capacity, skills, funding, and technology.

The resulting strategy may include:

- Additional budget or staffing.
- Specialist expertise.
- Outsourcing or co-sourcing.
- Guest auditors.
- Training and development.
- Technology that improves audit effectiveness and efficiency.

Annual resource discussions often take place alongside approval of the internal audit plan. More frequent discussions may be useful when risks, staffing, or planned activities change. Quarterly discussion is a leading practice rather than a mandatory frequency in this standard.

Examples of Evidence of Conformance

- Documented resource assessments and gap analyses.
- Staffing and resource plans.
- Budget submissions.
- Cost-benefit analyses of resourcing options.

- Board minutes discussing resource sufficiency.
- Communications explaining shortages, consequences, and proposed responses.

2. Audit Focus Areas

- Capacity to deliver the approved audit plan.
- Availability of specialist skills.
- Adequacy of financial and technological resources.
- Effects of vacancies and staff turnover.
- Transparency about deferred or reduced coverage.
- Suitability of external resource arrangements.
- Follow-up on approved resourcing actions.

3. Risks

Risk	Potential consequence
Insufficient audit capacity	High-risk areas receive delayed or incomplete coverage.
Missing specialist expertise	Complex risks and control weaknesses may be overlooked.
Resource shortages are not reported clearly	The board approves plans based on unrealistic assumptions.
Excessive workload	Audit quality, supervision, and staff retention deteriorate.
External resources are poorly integrated	Delivery becomes inconsistent or difficult to supervise.

4. Controls — Suggested

Control	Type
Resource assessment linked to the risk-based audit plan	Preventive
Skills matrix identifying required expertise and capability gaps	Detective
Capacity model allowing for leave, training, supervision, and administration	Preventive
Reporting of vacancies, budget pressures, and coverage implications	Detective
Board discussion of resource sufficiency at least annually	Detective
Documented remediation plan for material resource gaps	Corrective

5. Audit Procedures — Suggested

Procedure	Evidence to examine
Compare planned audit demand with realistically available capacity.	Audit plan, staffing schedule, capacity calculations
Assess whether required specialist skills are available internally or externally.	Skills matrix, qualifications, service agreements
Verify that the board discussed both resource numbers and capabilities at least annually.	Board packs and minutes
Trace identified shortages to their reported effects on audit coverage.	Gap analysis, deferred engagements, CAE reports
Evaluate proposed resourcing options and their feasibility.	Budget proposals, cost-benefit analyses, recruitment plans
Check implementation of approved resource actions and whether gaps remain.	Hiring records, contracts, training records, updated forecasts

6. Red Flags

- Repeated cancellation of high-risk engagements.
- Persistent vacancies without a documented response.
- Capacity assumptions exclude supervision or training time.
- Specialist audits are assigned without suitable expertise.
- The audit plan remains unchanged despite significant staff losses.
- Chronic overtime is treated as the permanent resourcing solution.

7. Common Findings — Illustrative Examples

- Resource assessments consider headcount but not capabilities.
- The board has not received a clear explanation of coverage lost through vacancies.
- Planned audit hours exceed available capacity.
- Recruitment and outsourcing actions lack completion dates.
- Technology limitations materially affect delivery but are absent from resource planning.

8. Professional References

- Standard 6.3 — Board and Senior Management Support.
 - Standard 9.4 — Internal Audit Plan.
 - Principle 10 — Manage Resources.
 - Standard 10.1 — Financial Resource Management.
 - Standard 10.2 — Human Resources Management.
 - Standard 10.3 — Technological Resources.
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STANDARD 8.3 — QUALITY

1. Standards & Guidance

Requirements — Chief Audit Executive

The CAE must develop, implement, and maintain a **quality assurance and improvement program (QAIP)** covering all aspects of the internal audit function.

The program must include:

- Internal quality assessments.
- External quality assessments.

The CAE must communicate:

- Internal quality assessment results to the board and senior management **at least annually**.
- External quality assessment results **when completed**.

These communications must address:

- Conformance with the Global Internal Audit Standards.
- Achievement of internal audit performance objectives.
- Compliance with laws and regulations relevant to the internal audit function, where applicable.
- Plans to address deficiencies and improvement opportunities, where applicable.

Essential Conditions — Board

The board should:

- Discuss the QAIP with the CAE.
- Approve internal audit performance objectives **at least annually**.
- Assess the function's effectiveness and efficiency.
- Consider conformance with the Standards and relevant laws and regulations.
- Consider mandate fulfillment and completion of the audit plan.
- Review QAIP results and determine whether performance objectives have been achieved.

Essential Conditions — Senior Management

Senior management should:

- Provide input into internal audit performance objectives.
- Participate with the board in the annual assessment of the CAE and internal audit function.

Considerations for Implementation

Quality reporting should explain the scope, frequency, and results of assessments, agreed improvement actions, and progress toward completion.

Performance measures may address:

- Contribution to governance, risk management, and control.
- Staff productivity and use of time.
- Compliance with relevant requirements.
- Cost efficiency.
- Stakeholder relationships.
- Other agreed performance objectives.

Audit completion rates alone do not provide a complete picture of quality. Assessment should also consider the quality and usefulness of the work performed.

Examples of Evidence of Conformance

- Documented QAIP.
- Board minutes discussing quality and performance.
- Internal and external assessment reports.
- CAE reports on improvement actions and progress.
- Approved performance objectives.
- Workpapers showing that quality assessment activities were performed.

2. Audit Focus Areas

- QAIP coverage across the entire function.
- Actual implementation of planned quality activities.
- Annual reporting of internal assessment results.
- Reporting of completed external assessments.
- Board approval of performance objectives.
- Balanced assessment of effectiveness and efficiency.
- Verification that improvement actions resolve deficiencies.

3. Risks

Risk	Potential consequence
QAIP exists only as a document	Deficiencies persist without detection or correction.
Assessments cover only selected activities	Important weaknesses remain outside review.
Performance measures reward volume alone	Engagement quality and professional judgment receive insufficient attention.
Quality results are reported selectively	The board receives an inaccurate view of performance.
Improvement actions are closed without verification	Recurring deficiencies remain unresolved.

4. Controls — Suggested

Control	Type
QAIP mapping assessment activities to all aspects of the function	Preventive
Quality assessment schedule with assigned responsibilities	Preventive
Annual board approval of performance objectives	Preventive
Reporting calendar covering annual internal results and completed external results	Preventive
Improvement tracker with owners, deadlines, and closure evidence	Corrective
Follow-up review to verify effectiveness of completed actions	Detective

5. Audit Procedures — Suggested

Procedure	Evidence to examine
Assess whether QAIP coverage includes all significant aspects of internal audit.	QAIP, process inventory, assessment scope
Verify that scheduled quality activities occurred and produced documented results.	Assessment workpapers, review records
Confirm annual communication of internal assessment results.	Board and senior management reports, minutes
Confirm that completed external assessment results were communicated.	Assessment report, distribution records, presentations
Verify annual board approval of performance objectives.	Approved objectives, board minutes
Sample reported performance measures and test the reliability of underlying data.	Dashboards, source records, calculation methods
Select completed improvement actions and verify that the underlying deficiency was addressed.	Action tracker, revised procedures, follow-up results

6. Red Flags

- No assessment workpapers supporting reported results.
- Quality reports describe activities without identifying conclusions.
- Performance objectives have no evidence of board approval.
- Repeated deficiencies remain open across reporting periods.
- All quality measures focus on speed or number of audits.
- Improvement actions are marked complete without supporting evidence.

7. Common Findings — Illustrative Examples

- QAIP coverage excludes aspects of internal audit management.
- Internal assessment results were not communicated annually.
- Performance objectives were not approved by the board.
- Reported performance data cannot be reconciled to supporting records.
- Improvement action closure is based on management statements without verification.
- Senior management participation in the annual assessment is not documented.

8. Professional References

- Standard 8.4 — External Quality Assessment.
- Principle 12 — Enhance Quality.
- Standard 12.1 — Internal Quality Assessment.
- Standard 12.2 — Performance Measurement.
- Standard 12.3 — Oversee and Improve Engagement Performance.

STANDARD 8.4 — EXTERNAL QUALITY ASSESSMENT

1. Standards & Guidance

Requirements — Chief Audit Executive

The CAE must develop an external quality assessment plan and discuss it with the board.

An external quality assessment must be performed:

- **At least once every five years.**
- By a qualified, independent assessor or assessment team.

A **self-assessment with independent validation** may be used as an alternative.

When selecting the assessor or team, the CAE must ensure that **at least one person holds an active Certified Internal Auditor (CIA) designation.**

Essential Conditions — Board

The board should:

- Discuss plans for assessment by a qualified, independent assessor.
- Work with senior management and the CAE to determine scope and frequency.
- Consider charter responsibilities and applicable regulatory requirements when determining scope.
- Review and approve the assessment plan.

The approved plan should address, at minimum:

- Scope and frequency.
- Assessor or team competence and independence.
- The rationale for using self-assessment with independent validation, if selected.

The board should also:

- Require the complete results directly from the assessor, including independent validation results.
- Approve action plans addressing deficiencies and improvement opportunities.
- Approve completion timelines and monitor progress.

Essential Conditions — Senior Management

Senior management should:

- Collaborate with the board and CAE on assessment scope and frequency.
- Review results.
- Agree appropriate action plans and timelines with the board and CAE.

Considerations for Implementation

More frequent assessment may be appropriate following significant leadership changes, changes in audit methodologies, consolidation of audit functions, high staff turnover, or relevant regulatory developments.

Assessment scope may cover:

- Conformance with the Standards.
- Mandate, charter, strategy, methodologies, and audit planning.
- Applicable legal and regulatory requirements.
- Performance measures and results.
- Competence and due professional care.
- CAE qualifications and role expectations.
- Organizational positioning and independence.

- Contribution to governance, risk management, control, and organizational objectives.
- Stakeholder expectations.

Assessor Qualifications and Independence

Relevant assessor experience may include knowledge of the Standards, senior internal audit leadership, industry experience, previous external assessments, and recognized external quality assessment training.

Independence evaluation should consider past, present, and anticipated relationships with the organization.

Potential impairments include:

- Providing external financial statement audit services.
- Providing support or advisory services to the internal audit function.
- Personal relationships.
- Previous or planned involvement in internal quality assessments.
- Other advisory relationships affecting objectivity.

Individuals from another department within the same organization are not independent for this purpose. Related organizations, such as parents or affiliates, may also fail the independence requirement.

Reciprocal assessments between **two organizations are not independent**. Rotating assessments among **three or more peer organizations may be independent**, but require evaluation; the number of participants alone does not establish independence.

Self-Assessment with Independent Validation

This approach typically includes:

- A comprehensive, documented self-assessment.
- Independent validation by a qualified external assessor or team.
- Evaluation of whether the self-assessment was complete and accurate.
- Benchmarking and interviews with relevant stakeholders.

Examples of Evidence of Conformance

- Board minutes approving the assessment plan.
- Formal external assessment or validation report.
- Assessor presentations of complete results directly to the board.
- CAE presentations on results and proposed actions.
- Board-approved action plans and timelines.
- Records monitoring implementation.

2. Audit Focus Areas

- Compliance with the five-year assessment interval.
- Board approval of scope and approach.
- Assessor qualifications and active CIA status.
- Independence and conflict-of-interest evaluation.
- Completeness of assessment coverage.
- Direct reporting of complete results to the board.
- Follow-up on deficiencies and improvement opportunities.

3. Risks

Risk	Potential consequence
Assessment exceeds the required interval	Quality weaknesses remain without timely external evaluation.
Assessor independence is impaired	Conclusions may lack objectivity or credibility.
Required active CIA qualification is absent	Assessor selection does not meet the standard.
Assessment scope is unduly restricted	Significant weaknesses may remain unexamined.
The board receives only selected results	Oversight and action planning are based on incomplete information.
Actions remain overdue or ineffective	Identified deficiencies continue after assessment.

4. Controls — Suggested

Control	Type
Assessment timetable tracking the five-year deadline and preparation milestones	Preventive
Board-approved assessment plan and documented approach	Preventive
Assessor due diligence covering experience, credentials, and independence	Preventive
Verification of at least one assessor's active CIA designation	Preventive
Engagement terms requiring complete results directly to the board	Preventive
Board-approved action tracker with owners and deadlines	Corrective
Follow-up verification of action completion and effectiveness	Detective

5. Audit Procedures — Suggested

Procedure	Evidence to examine
Verify the date of the last completed assessment and evaluate the next assessment timetable.	Prior report, current plan, engagement contract
Check board approval of scope, frequency, assessor competence, and independence.	Approved plan, board minutes
Verify active CIA status for at least one assessor or team member.	Credential verification records
Review relationships that could impair assessor independence.	Declarations, service history, organizational relationships
Assess whether scope restrictions could prevent a meaningful quality evaluation.	Terms of reference, charter, assessment scope
For self-assessment with independent validation, examine the completeness of self-assessment and validation work.	Self-assessment workpapers, validation report
Confirm the board received complete results directly from the assessor.	Distribution records, assessor presentation, minutes
Trace findings to approved actions and test selected closures.	Action plans, approvals, remediation evidence

6. Red Flags

- Assessment planning begins close to the five-year deadline without adequate arrangements.
- CIA credentials are assumed rather than verified.
- Independence declarations are absent or incomplete.
- The assessor recently designed or performed activities now being assessed.
- Two organizations agree to assess one another.
- The board receives only an executive summary prepared internally.
- Assessment recommendations remain open without board visibility.

7. Common Findings — Illustrative Examples

- The external assessment was not completed within five years.
- Assessor selection records do not demonstrate an active CIA designation.
- Prior advisory relationships were not evaluated for independence.
- The rationale for self-assessment with independent validation was not documented.
- Complete results were not delivered directly to the board.
- Corrective action deadlines were not approved or monitored.
- Completed actions lack evidence that the deficiencies were resolved.

8. Professional References

- Standard 8.3 — Quality.
 - Standard 12.1 — Internal Quality Assessment.
 - Standard 12.2 — Performance Measurement.
 - Principle 3 — Demonstrate Competency.
 - The Global Internal Audit Standards as the assessment framework.
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